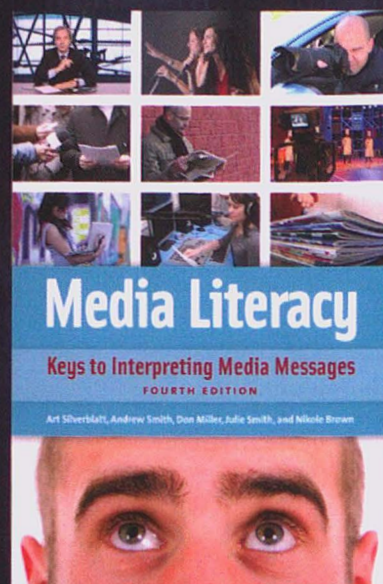
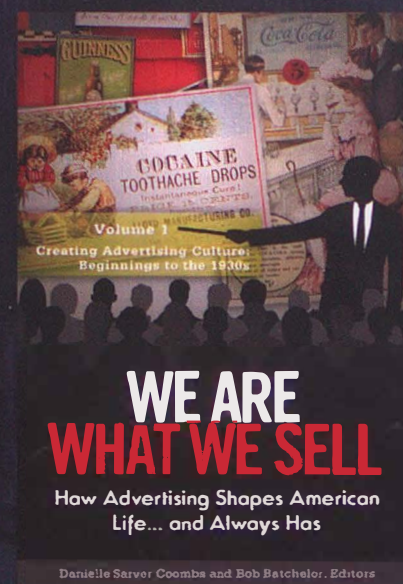


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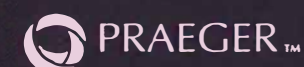
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THE NEW ADVERTISING
BRANDING, CONTENT, AND CONSUMER RELATIONSHIPS
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THE NEW ADVERTISING

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TRADITIONAL ADVERTISING TRANSFORMED

RUTH E. BROWN, VALERIE K. JONES, AND MING WANG, EDITORS

Volume 1

Traditional Advertising
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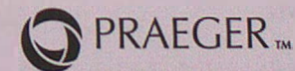
The New Advertising

Branding, Content, and
Consumer Relationships in the
Data-Driven Social Media Era

**Ruth E. Brown, Valerie K. Jones,
and Ming Wang, Editors**

Foreword by Don E. Schultz

Epilogue by Valerie K. Jones and Rishad Tobaccowala



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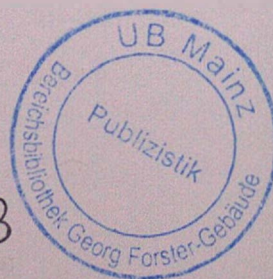
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Chapter 8

Electronic Word-of-Mouth and User-Generated Content: Past, Present, and Future

Manu Bhandari and Shelly Rodgers

In April 2009, the Ford Motor Company provided 100 consumers with new Ford Fiestas to drive for free for six months. In exchange for their time, Ford asked the drivers to post about their experiences on blogs and social media sites. The grassroots campaign, dubbed the “Ford Fiesta Movement,” received 6.2 million YouTube views and 40 million Twitter impressions¹ and gained the interest of at least 50,000 potential consumers—97% who did not own a Ford at that time.² The campaign is also credited for increasing Ford Fiesta sales in the United States, as the company reportedly sold 10,000 cars in the first six days of sales.³ The initiative became so successful that Ford launched a similar campaign for its 2014 Fiesta, making the entire TV, print, and digital advertising based on content generated by the Fiesta movement.⁴

Ford’s Fiesta Movement campaign is unlike the traditional 30-second TV spot or a newspaper/magazine print ad that characterizes traditional forms of advertising. Ford did not simply tell consumers the beneficial characteristics of its Fiesta or make an appeal to “buy now.” Instead, Ford’s Fiesta Movement embraced a new form of advertising that harnessed the unique power of online user-generated content (UGC) where consumers create promotional information in an attempt to persuade other consumers to buy the advertised product.

A term that entered mainstream usage around 2005,⁵ UGC refers to any content that users of an online system or service create and publish outside of professional routines and practices,⁶ and that also displays some sort of creative effort.⁷ UGC ranges from YouTube videos to blogs and from online reviews to social media posts.

As much as industry seems to have embraced UGC as a form of promotion, scholars have also researched various forms of UGC. However, scholars sometimes do not agree on what constitutes UGC and often conflate it with other similar concepts, so definitions may vary. Therefore, we provide a definition of UGC and attempt to describe the nature and drivers of UGC. In doing so, we distinguish UGC from other related concepts, such as consumer-generated content (CGC), consumer-generated advertising (CGA), electronic word-of-mouth (eWOM), and viral advertising. We then take the bulk of the chapter to discuss eWOM, a form of UGC that has received a lot of attention in the literature but is still not thoroughly understood. Following this, we organize the vast eWOM literature into three basic schools of thought provided by Rodgers and Thorson:⁸ functionalist, information processing, and structuralist. We begin with a discussion of the broader UGC movement.

The UGC Movement

UGC existed in the pre-Internet and Web 2.0 world, for example, in the form of letters to the editors, consumer feedback forums, and amateur TV footage. However, recent technological (e.g., global availability of high-speed broadband), social (e.g., desire for more interactivity and willingness to create, contribute, or share content), economic (e.g., companies' investment to monetize UGC), legal, and institutional (e.g., flexible licensing/copyright schemes, such as creative commons) developments have driven UGC's massive growth,⁹ prompting many brands to include UGC as a major component of their promotional or communication efforts.

Everyday consumers are not just producing UGC but are also voraciously consuming UGC. A recent industry report found that Millennials spend about 5 1/2 hours per day, or 30% of their overall media consumption time, with UGC—longer than the time they spend watching TV.¹⁰ What's more, video game fan videos on YouTube also generate 19 times more views than official brand-released videos.¹¹ Google prominently displays UGC in its search engine results pages.¹² In addition, UGC appears to have a strong influence on those who consume it, as shown in various industry as well as academic studies. A recent industry report found that UGC influenced purchase decisions in 84% of Millennials and 70% of baby boomers.¹³ Consumers tend to be more persuaded by UGC than messages generated directly from brands,¹⁴ which could be due to greater credibility, relevance, and ability to generate empathy of these messages.¹⁵ To capitalize on the importance consumers place on UGC, advertisers often encourage consumers to create content about their brand experiences, as is evident in brands such as Applebee's, Doritos, CareerBuilder, and Heinz that have incorporated UGC into their websites, social media postings, or television ads.¹⁶ Disney

also offers heavily discounted trips in order to attract moms who are active social media consumers with a lot of followers to Disney parks for Disney Social Media Moms Celebration since 2010. Although these social media influencers are not required to write anything (or told what to write), the trips generate an impressive amount of positive UGC for Disney. This year's event alone generated 28,500 tweets, 4,900 Instagram photos, and 88 blog posts consisting of reviews and activities in Disney, thereby garnering the attention of many other consumers through the influencers.¹⁷

An implication of the UGC movement is that brands today do not have strict control of what brand information reaches the consumer. The UGC movement subsequently led to a change in our traditional notions about advertising and its major classical components, such as advertising source, message, channel, receivers, and effects.¹⁸ For instance, the UGC movement switches the *source* of the brand or product information from brands to consumers, which can exert a differential effect on consumers' attitudes and behaviors. In today's UGC environment, an advertising *message* includes not just the traditional 30-second television commercial or a print ad but *any* information the consumer wants to say about a brand—whether positive or negative—in digital and nondigital channels, as illustrated in the Fiesta Movement campaign example. In the past, the advertising *channel* (e.g., television, radio) was the predominant way in which advertisers would reach target audience members, and advertisers had complete control over where and when to send their messages. Today, consumers, in addition to being receivers of a message, are also powerful channels to help determine where a brand- or consumer-originated digital brand message travels (e.g., as in the case when one forwards a message, it reaches that person's social network members).¹⁹ The traditional notion of an advertising message *receiver* has also changed given that consumers today “are more interconnected in ways that are not limited by time and space.”²⁰ Lastly, the body of study on advertising *effects* has also changed somewhat given the introduction of newer metrics such as “engagement”²¹ and, hence, intriguing possibilities for dependent variables.

In short, the role of today's consumers as a source or propagator of brand messages has changed the advertising landscape to make it more consumer controlled. Next, we distinguish between concepts related to UGC.

Defining UGC and Related Concepts

UGC has often been conflated or confused with other terms, such as user-created content (UCC), social media-generated content, CGC, CGA, and viral advertising. In the following sections, we attempt to distinguish between these terms with the rationale that fuzzy definitions may lead to mixed results or results that are not easily interpreted. For a quick reference, see Table 8.1.

Table 8.1 Definitions of Closely Related Terms in the UGC Realm

Term	Definition
User-Generated Content (UGC)	Content people create outside professional routines and practices. ¹ Some definitions require content to meet additional conditions to be called UGC.
Social Media	An umbrella term for a variety of online platforms that allow people to create and share UGC. ²
Consumer-Generated Content (CGC)	UGC that emphasizes the role of the user as a consumer of products and services. ³
Consumer-Generated Advertising (CGA)	CGC that resembles advertisements or commercials in format and intention. May vary in valence toward brand. ⁴
Viral Advertising	Brands producing or sponsoring content that seeks to use online consumer networks to quickly reach a large audience. ⁵
Electronic Word-of-Mouth (eWOM)	Information about brands, products, or services that consumers discuss or share with others via electronic media, such as the Internet. ⁶ Some scholars emphasize eWOM from its information-conveying aspect. ⁷

Notes: ¹ Graham Vickery and Sacha Wunsch-Vincent, *Participative Web and User-Created Content: Web 2.0 Wikis and Social Networking* (Organization for Economic Cooperation and Development, 2007), 8, accessed February 25, 2015, <http://www.oecd.org/interne/ieconomy/38393115.pdf>; Ye Wang and Shelly Rodgers, "Electronic Word of Mouth and Consumer Generated Content: From Concept to Application," in *Handbook of Research on Digital Media and Advertising*, eds. Matthew S. Eastin, Terry Daugherty, and Neol M. Burns (Hershey, PA: Information Science Reference, 2011), 213.

² Andreas M. Kaplan and Michael Heinelein, "Users of the World, Unite! The Challenges and Opportunities of Social Media," *Business Horizons* 53 (2010): 61.

³ George Christodoulides, Colin Jevons, and Jennifer Bonhomme, "Memo to Marketers: Quantitative Evidence for Change: How User-Generated Content Really Affects Brands?" *Journal of Advertising Research* 52, no. 1 (2012): 54; Wang and Rodgers, "Electronic Word of Mouth," 213.

⁴ Colin Campbell, Justin Cohen, and Junzhao Ma, "Advertisements Just Aren't Advertisements Anymore: A New Typology for Evolving Forms of Online Advertising," *Journal of Advertising Research* 54, no. 1 (2014): 10.

⁵ Petya Eckler and Shelly Rodgers, "Viral Advertising: A Conceptualization," in *The Handbook of International Advertising Research*, ed. Hong Cheng (Hoboken, NJ: John Wiley & Sons Inc. 2014), 4.

⁶ Wang and Rodgers, "Electronic Word of Mouth," 213–214.

⁷ Hyuk J. Cheong and Margaret A. Marison, "Consumers' Reliance on Product Information and Recommendations Found in UGC," *Journal of Interactive Advertising* 8, no. 2 (2008): 38.

User-Generated Content

As noted, UGC is a broad term that encapsulates any type of content people create and publish outside of professional routines and practices.²² This term is synonymous with the term *UCC*. For content to be called UGC, some definitions stipulate a degree of originality or creativity in the posted content.²³ Additionally, UGC can include "video, audio, or written content created by end users of a website that is largely publicly available for others to consume, comment on, or further modify."²⁴

Social Media

Social media is one of the major platforms for UGC creation and sharing. It is defined as "a group of Internet-based applications that build on the ideological and technological foundations of Web 2.0, and that allow the creation and exchange of User Generated Content."²⁵ *Social media* is an umbrella term that includes various subplatforms, including social networking sites (e.g., Facebook.com), content communities (e.g., YouTube.com), collaborative projects (e.g., Wikipedia), and blogs or microblogs (e.g., Twitter.com).²⁶

Consumer-Generated Content

CGC is a commercial label for UGC.²⁷ Several scholars have considered CGC as describing any *brand-related* UGC.²⁸ CGC emphasizes the role of user as consumer, as implied in this definition by Wang and Rodgers: "Internet content that is generated and published by everyday consumers, not media or communications professionals."²⁹

Consumer-Generated Advertising

CGA is closely related to UGC in that everyday consumers create content used to promote a brand. However, CGA differs from the larger UGC concept in that the former is intended to look like advertising with the intention to sell a product or persuade other consumers to do something relating to a brand. Like any CGC, however, CGA can also be negative or unfavorable toward the brands, as in some spoof videos.³⁰ The definition of CGA is "Brand- or product-related content created by consumers which emulates the style and intention of advertising."³¹ With CGA, the consumer has full

editorial control over the advertising content and the firm or advertising agency does not initially plan or drive its creation or distribution.³²

Viral Advertising

Viral advertising is defined as "a widely used form of unpaid communication through persuasive messages created by identifiable sponsors and distributed among peers on interactive, digital platforms."³³ The creation and initial distribution by identifiable sponsors (brands) is a major characteristic of viral advertising that serves to distinguish the concept from UGC or CGA. Although viral advertising capitalizes on consumer digital networks for the circulation of the brand's message, the consumer does not usually create the content of viral advertising.³⁴ The content is created or paid for by advertisers and brands interested in promoting their products or services, and this content is usually strategically placed at certain websites (e.g., YouTube) to maximize consumer exposure and sharing.

Electronic Word-of-Mouth

Popularly used definitions of eWOM seem to consider eWOM as brand-related UGC. For instance, Hennig-Thurau and colleagues define eWOM as "any positive or negative statement made by potential, actual, or former customers about a product or company, which is made available to a multitude of people and institutions via the Internet."³⁵ This definition indicates a considerable degree of similarity or overlap between brand-related UGC or CGC and eWOM.³⁶ However, there is also a *process* aspect of eWOM, which involves *conveying* the brand-related information to other consumers. Some scholars tend to emphasize this aspect in their definition of eWOM and distinguish it from UGC, which tends to emphasize content *generation*.³⁷

eWOM shares similarities to CGA as well. For example, both CGA and eWOM typically involve consumers, creating unpaid content for the consumption of other consumers.³⁸ However, whereas CGA emulates the style and intention of advertising, eWOM may not. Campbell and colleagues state that eWOM (the authors use the term *word-of-mouth* or WOM) involves "brand or product related content generated by the consumer independent of a brand or company influence,"³⁹ which indicates brand-related CGA to be a specific mode in which eWOM manifests. Additional confusion in distinguishing eWOM from CGA is that brands will sometimes pay consumers to write online product reviews (eWOM) or develop a brand-related YouTube video similar to a commercial (CGA) for the intention of promoting a brand

or disparaging a competitor brand. This has resulted in a variety of additional terms such as “sponsored word-of-mouth” (e.g., Amazon’s Vine program) or “consumer-generated advertising competitions” (e.g., Dorito’s “Crash the Super Bowl competition”)⁴⁰ that are not well understood yet by scholars. These newer terms may prove useful for strengthening advertising scholarship in the future, as these different types of content (e.g., sponsored versus not-sponsored eWOM) may involve different motivations for creation, sharing, and consumption and exercise different persuasive impacts on other consumers.

Although the existing popular definition of eWOM by Hennig-Thurau and colleagues is still useful for many circumstances, subsequent research has shown the definition may be inadequate for a few reasons. First, eWOM may have more than just positive or negative valence, including mixed and neutral valence,⁴¹ which may have an effect on consumers’ psychological processing and product sales.⁴² Additionally, the previous definition takes the Internet into consideration but does not account for other digital platforms such as mobile applications in which eWOM also occurs.⁴³ A more recent definition of eWOM addresses some of these concerns, as it defines eWOM as “any degree or combination of positive, negative, and neutral comments, recommendations, or statements about companies, brands, products or services discussed or shared among consumers in digital or electronic formats.”⁴⁴

However useful, these definitions and distinctions are still limited in that they all tend to conceptualize eWOM as a static phenomenon, where the information flow initiates solely from consumers to other consumers and brands. However, given advancements in technologies, complemented by brands’ attempts at establishing meaningful relationship with customers online, brands are often engaged in conversation with consumers in various eWOM platforms. For instance, even as far back as 2003, TripAdvisor started allowing brands to respond to reviews posted on its site. Well-known online retailers such as Amazon.com and Bestbuy.com also allow brands to provide feedback to eWOM messages. TripAdvisor even reported that the number of brand feedback or management responses to consumer reviews on its site doubled from 2011 to 2012.⁴⁵ These developments suggest that eWOM conceptualizations may need to be refined as more dynamic forms of communication, allowing for brands to participate in the eWOM environment.

WOM versus eWOM

In the pre-eWOM era, scholars often investigated the phenomenon of offline word-of-mouth (WOM). Hence, it is important to understand how

eWOM is similar to or different from the traditional WOM phenomenon. Although eWOM is similar to WOM in that both involve consumers as brand information generators and conveyers, thus impacting other consumers' purchase decisions, eWOM is different from WOM in a variety of ways. First, eWOM takes place mainly through written words (as opposed to spoken word in WOM setting) and persists for a longer period of time, which can help consumers refer back and better absorb content and its details.⁴⁶ Although WOM was generally limited to one's interpersonal networks, eWOM takes place on a much increased scale, as digital communication networks can develop even between weak tie or unknown consumers on a worldwide scale on a variety of platforms.⁴⁷ For instance, irrespective of physical distance, consumers can engage in eWOM communication on online feedback systems (e.g., Amazon.com), third-party review sites (e.g., TripAdvisor.com), social media sites (e.g., Facebook.com), blogs or micro-blogs (e.g., mommy blogs), discussion boards (e.g., cancer bulletin board), brand community sites (e.g., PlayStation users' online community), personal or group e-mails, online chatrooms, or instant messaging.

Furthermore, eWOM can be more precisely measured through analytics and online software and engineering innovations; diffused at a greater speed among worldwide consumers (e.g., viral marketing) and more easily and publicly accessible wherever one has an Internet connection.⁴⁸

Although a recent Nielsen study of worldwide consumers showed that consumers overall tend to trust recommendations from people they know most,⁵⁰ eWOM's large scale, diffusion speed, persistence, and accessibility⁴⁹ can make the eWOM's effect potentially more consequential overall for brands. Our review of the eWOM literature yielded four primary research areas examined by scholars, which we review next. These research areas include motivations, usage, effects, and structures of eWOM as a unique form of WOM.

eWOM Research Areas

Although eWOM changed the dynamic of the traditional advertising components (e.g., source and message), as noted, established theories based on traditional forms of advertising have found useful applications to study eWOM and UGC. These theories include dual process theories such as Elaboration Likelihood Model and Heuristic-Systematic Model and source credibility and negativity bias theories.⁵¹ Dual process theories such as Elaboration Likelihood Model and Heuristic-Systematic Model basically posit two ways or routes through which information we encounter is processed or accepted. One way, called central route or systematic processing,

is an effortful and systematic analysis of the actual information or concrete details. The other way or route is the peripheral route or heuristic process, whereby we come to a judgment or accept a message looking at heuristic attributes that are not actual concrete details within the message. Negativity bias theories basically posit that negative information is more persuasive or powerful than positive information, and source credibility literature involves itself with the role and effect of the source attributes on message acceptance.

However, although some existing theories have been used, those theories often have to be tested or creatively applied to study this newer form of eWOM. For instance, in an effort to test negativity effect and sidedness theory (that posits two-sided argument is more powerful than one-sided argument) in the new eWOM context (online consumer reviews), Rodgers and Wang⁵² found that sidedness theory did not help to explain psychological influences of eWOM but negativity effect theory did. Another study also found no effects of message sidedness on eWOM's persuasive effects.⁵³

What these studies suggest is that while there seems to be value in adapting previous theories to study the effects of eWOM, not all theories can be used whole face but may need to be adapted or changed altogether to meet the unique needs of the digital environment. In some cases, we might even need to create new/updated theories that can better tap into consumers' changing advertising consumption patterns.⁵⁴

With this overview in mind, and consistent with Rodgers and Thorson⁵⁵ while following Wang and Rodgers,⁵⁶ we organized the eWOM literature according to three primary schools of thought: functionalism, information processing, and structuralism. According to the Interactive Advertising Model, or IAM, functionalism refers to an approach examining Internet (or eWOM) usage as fulfilling certain functions (i.e., satisfying certain needs or desires); structuralism refers to an approach examining physical features (types, formats, and features) of interactive advertising; and information processing refers to an approach looking at psychological meaning and effects of interactive advertising.⁵⁷ In making these distinctions, we improve our understanding of studies since the original categorization presented by Wang and Rodgers⁵⁸ and we identify gaps that scholars can fill.

Gaining insights from functional eWOM research will allow marketers and advertising professionals to cater to consumers based on their goals on a site or platform. Similarly, through insights from research in the information-processing paradigm, advertising professionals may be able to, among others, identify eWOM messages that they need to pay attention to most (e.g., what kind of messages hurt businesses most) and learn how other consumers would respond to different eWOM messages or what kinds of

messages should be encouraged to amplify positive feelings about brands among other consumers. Lastly, a greater understanding of the structural aspects of eWOM messages or environment will allow advertisers and marketers to, for instance, better understand the specific features and nature of eWOM interactions within the various platforms. This could in turn help tailor promotional messages to suit the dynamics of each of these platforms.⁵⁹

Functionalism and eWOM

Functionalism is concerned with the people's motives for engaging with eWOM or UGC and how they do it.⁶⁰ Motives in this context refer to specific goals that drive people to create, disseminate, or seek eWOM. The majority of eWOM studies that draw on a functionalist paradigm focus on questions such as what drives or motivates consumers to create or contribute,⁶¹ seek/refer to,⁶² or forward/pass along⁶³ eWOM communication in different settings and contexts, such as brand communities, review websites, social networking sites, blogs, and e-mails.

Creating/Providing eWOM

There is a line of research that examines motivations for creating or providing eWOM online. Overall, this research identified a variety of motives, including personal (e.g., self-enhancement), social (e.g., helping others), economic (e.g., gaining rewards), and company-related (e.g., harm them for misdeeds). This chapter now reviews some individual studies in this research line.

One early study in Germany examined 2,063 consumer responses from e-opinion platforms and found that people are motivated to provide eWOM for social interactions, desire for economic incentives, concern for other consumers, and potential to enhance their own self-worth.⁶⁴ The authors of the study claimed users providing eWOM can be grouped based on what motivates their behavior and subsequently categorized eWOM providers as self-interested helpers, multiple-motive consumers, consumer advocates, and, lastly, true altruists. Each label conveys the motivation of eWOM providers in that category (e.g., altruists are motivated to contribute eWOM to help others). Multiple motive eWOM contributors have more than one goal for eWOM articulation (e.g., economic benefits, concern for other consumers). Berthon and others⁶⁵ found consumers create CGA or eWOM for intrinsic enjoyment (i.e., to get playful enjoyment), self-promotion (i.e., gain attention of relevant groups of people for career benefit), or change perception (i.e., send a message to change hearts and minds). In a study of

iPhone community in Thailand, Wu and Sukoco⁶⁶ found consumers provide their knowledge to others to gain a sense of achievement about their knowledge about the product (i.e., achievement motivation or an interest in being personally competent). Daugherty and colleagues⁶⁷ found creating UGC or eWOM mainly served ego-defensive function (i.e., feeling important, increasing self-esteem, feeling needed) and social function (i.e., feeling part of a community, making new friends, meeting people).

In the context of travel review sites, the motivations identified by Bronner and Hoog⁶⁸ included self-directed or personal (e.g., bring financial advantage or reward, pass time, shake off frustration); helping vacationers (e.g., to make good decisions, help with one's experience); providing social benefits (e.g., express holiday experience to others, come into contact with similar vacationers); increasing consumer empowerment (e.g., more convenient than writing to or calling companies; companies will be more willing to change if one publicly tells it); and helping companies (e.g., help the travel company). A recent review of travel-related eWOM literature found similar motives and factors for eWOM creation, which included helping other customers or vacationers, customer dissatisfaction/satisfaction, pre-purchase expectations, service quality and satisfaction, service failure and recovery, helping companies, sense of community belonging, and social identity.⁶⁹ Yoo and Gretzel⁷⁰ found reciprocity/altruism and enjoyment/self-enhancement and venting to be the main motivations driving eWOM or UGC creation in the travel context. When one has a negative experience, altruism, vengeance, and economic gain purpose seem to be the strongest motivations to drive eWOM or UGC creation.⁷¹

Based on the level of brand-related activeness, Mutinga and colleagues⁷² distinguish creating (e.g., publishing brand-related weblog, video, pictures, and audio; writing product reviews) from just contributing brand-related content (e.g., rating products, commenting on brand-related weblogs, joining a brand profile on social networking sites). The scholars found eWOM creation was motivated by the need to create personal identity (self-related or identity-related motivations, such as self-expression, self-presentation, and self-assurance); to integrate and socially interact (social interaction, social identity, and social pressure); to feel empowered (ability to influence others' habits); and to be entertained (to enjoy and pass time). To *contribute* eWOM, however, consumers were not guided by the empowerment motive and "pass time" submotive under the entertainment motive. However, the other motives and submotives for eWOM creation (i.e., create personal identity, entertainment, integrate, and socially interact) were present for eWOM contribution, as well. Also found were a "helping" submotive under

the motive of integration and social interaction and "relaxation" submotive under the motive of entertainment.

Scholars have thus identified a number of eWOM/UGC/CGA motives, and several of these motives consistently appear (e.g., altruism, social benefits, self-enhancement) as the previous review shows. There are multiple avenues for future research in this subdivision of eWOM research from functional perspective. Although scholars have attempted to differentiate motives for creating eWOM in different contexts,⁷³ future studies could further expand knowledge on these differences across other platforms and contexts. One may have different motivations, for instance, to create content in newer forms of eWOM platforms (e.g., Snapchat, YikYak) versus consumer review platforms or brand communities. Also, as some other scholars note,⁷⁴ motivations to create and consume eWOM in other modalities (e.g., visual, podcast) may provide important nuances in our understanding of eWOM phenomenon.

Another area for possibly expanding the current scholarship on motivations for eWOM creation is to examine what motivates *advertisers* and *brands* to create content online in the context of UGC and eWOM (e.g., responses in response to eWOM messages), as some recent industry data shows such a phenomenon is on the rise.⁷⁵ Such an examination would necessitate a dynamic conceptualization of eWOM/UGC environment, including consumer reviews, allowing brands and advertisers to participate in the content generation process in eWOM environment.

Forwarding or Sharing eWOM

Research on eWOM has examined why consumers engage with eWOM in the form of sharing (others' content), passing along or forwarding online content to others. Although eWOM forwarding or sharing is similar in some respect to eWOM creation and contribution, it becomes theoretically useful to separate eWOM sharing/forwarding motivations from eWOM creation motivations, as eWOM forwarding includes certain aspects that eWOM creation alone cannot account for. For instance, viral advertising depends on eWOM's sharing or forwarding behavior but not creation behavior, as advertisers themselves create viral advertising.

Literature on forwarding or sharing eWOM has grown in number. One study found consumers passed along e-mail to others mainly for fun, entertainment, and making social connections.⁷⁶ Sharing information with others can have strong symbolic values for consumers. This includes an enhancement of consumers' sense of identity, which is why scholars identified self-enhancement as an important motivation for consumers' sharing

of advertising messages online.⁷⁷ Consumers get symbolic value from not only purchasing and using a product but also engaging with eWOM about the product. eWOM sharing tendency increases when a particular brand is congruent with one's self-concept, when involvement with a product category is stronger, and when messages are entertaining.⁷⁸

Seeking or Consuming eWOM

Consuming eWOM refers simply to reading or referring to eWOM messages from other consumers. eWOM is often actively sought and consumed before making purchase decisions, and research has shown there are various motivations for doing so. One of the major motivations consumers have for seeking out or consuming eWOM is to reduce buying-related risks online.⁷⁹ For instance, consumers seek specific purchase-related information from consumer reviews when making risky or important purchases.⁸⁰ Other consumption motives include fulfilling certain needs, such as the need to secure lower prices, fit in because others use eWOM, gain easy access to product information, save time (with fast online searches), get information to become knowledgeable about a product before purchasing it, get post purchase support or community related to the product or service, get remuneration or reward, and be entertained.⁸¹ In qualitative interviews with consumers using multiple brand-related eWOM platforms—brand communities, brand profiles on social networking sites, consumer review sites, and brand-related weblogs—Mutinga and colleagues⁸² found similar motivations, which included getting information (observing and staying updated with one's social environment; learning more about a product or brand; making well-considered buying decisions; getting inspirations for new ideas), entertainment (enjoying, relaxing or unwinding, and passing time or removing boredom), and remuneration (getting rewarded for an activity).

Although research identified quite a few motives for seeking/consuming eWOM or UGC, it can benefit from further robust examinations and comparisons of motives in different eWOM contexts and situations to refine our understanding of eWOM seeking and consumption behaviors. Research needs to offer a more nuanced understanding about user motivations for eWOM seeking in different platforms, settings, modalities, and even devices. For instance, future research can examine the different motivations people have for consuming eWOM on different devices (e.g., smartphones versus laptops) or while at home versus on the go. Examining cultural and other differences in seeking eWOM, although explored in some studies,⁸³ still offers a fertile avenue for future eWOM seeking (and even creating and forwarding) research.⁸⁴

However, research has also sought to link various factors with eWOM creation, contributing, forwarding, and consuming eWOM behavior. These factors include demographics;⁸⁵ personality traits and psychographics;⁸⁶ Internet usage and social connections;⁸⁷ group identification or sense of community belonging;⁸⁸ independent versus interdependent self-construal (i.e., whether one perceives oneself as independent from or interdependent with a group); who created the brand community (i.e., marketer versus consumer-created);⁸⁹ normative influences (i.e., perceived expectations or norms/values); and informational influences (i.e., information from knowledgeable others), trust in others, and strength of tie or bonding.⁹⁰

Some scholars have linked creating/giving, consuming, and forwarding eWOM. For instance, in one study, opinion leadership (or giving) was found to influence opinion seeking and forwarding and chatting behaviors, and opinion-seeking behavior influenced forwarding and chatting behaviors.⁹¹ Another study found that a consumer's attitude toward UGC/eWOM mediates between UGC/eWOM consumption and creation, and as attitude strengthens, consumption and creation of UGC/eWOM increases.⁹²

Consumers' motivations also appear to influence the type of sites they use and activities on those sites.⁹³ For instance, consumers motivated by vengeance tend to express more eWOM on Facebook, Twitter, and company websites, whereas those motivated by economic gains are more likely to contribute only on company websites.⁹⁴ Similarly, in a vacation context, those guided more by personal benefits or concerns (i.e., self-directed) are more likely to contribute to marketer-generated sites and sites not accessible to other vacationers, comment on limited aspects of the vacation, and post more negative reviews.⁹⁵ On the other hand, those with more concerns about others (i.e., other directedness) were more likely to contribute to consumer-generated sites and sites accessible to other consumers, comment on more aspects of a vacation, post mainly positive reviews, and express themselves more with combined text and ratings. Other differences were also found.⁹⁶

eWOM Studies from an Information-Processing Perspective

The majority of studies on eWOM take an information-processing perspective, which examines eWOM's psychological and behavioral impact on consumers. Studies have examined how different factors contribute to eWOM's persuasive impact on consumers. These factors can be grouped according to source (e.g., source credibility, attribution of causality of problem), message (e.g., argument quality, valence, volume), consumers (e.g., involvement, prior knowledge), or context (e.g., platform).⁹⁷ Scholars

have employed a variety of dependent variables to measure eWOM's persuasive impact, including attitudes (toward the brand, website, product, and eWOM), eWOM credibility and adoption, brand equity, brand trust, product quality perceptions, behavioral intentions (e.g., purchase intentions), and information or review usefulness or helpfulness.

To organize the vast literature on eWOM and information processing, we draw on the communication framework (message, source, consumer, context) used by Cheung and Thadani.⁹⁸ Given page limitations, we provide examples of eWOM studies that fit within the framework rather than provide an exhaustive review, starting with message features.

Message Factors

One of the commonly examined message-related variables in the information-processing effects line of research is eWOM valence, which basically conveys the sentiment (positive, negative, neutral, or mixed) toward brand, product, or service. Many studies have examined valence likely because it is an obvious and salient eWOM aspect.⁹⁹ Although studies generally examine the effects of negative versus positive eWOM, scholars are often more concerned with effects of negative eWOM messages. Negative valence refers to unfavorable sentiment expressed toward the product or brand, whereas positive valence refers favorable sentiment toward the brand or product, as expressed in the eWOM message. Generally speaking, negative-valenced eWOM can have detrimental psychological effects on consumers' purchase intentions, trust, brand/product evaluations, as well as eWOM credibility.¹⁰⁰

Several studies have established that for consumer decision making, negative product information in the form of eWOM is generally more persuasive than positive information.¹⁰¹ In contrast, some studies have detected differences in the effectiveness of negative eWOM depending on certain variables such as product type,¹⁰² valence consistency,¹⁰³ and consumption goals.¹⁰⁴ Negativity bias, or the greater attention to or persuasive effects of negative eWOM valence, is observed mainly for utilitarian products (that enhance utility; e.g., cell phones, digital cameras) rather than hedonic products (that satisfy affective or sensual desires; e.g., movie videos, books).¹⁰⁵ Researchers have found that consistency of an online review valence with that of other available reviews has greater effects irrespective of valence, such that consistently positive eWOM is more persuasive than inconsistently negative eWOM.¹⁰⁶ Similarly, negative eWOM is more influential when the consumption goal is prevention (i.e., avoiding a negative outcome; e.g., using an antivirus software for preventing computer file

corruption) rather than promotion (i.e., achieving a positively aspired end state; e.g., photo editing software to make someone look beautiful in a photo), for which positive reviews are more persuasive.¹⁰⁷

Recent studies include a broader range of message features related to eWOM including review quality or argument strength, which can enhance product evaluations or credibility, and this may lead to greater eWOM adoption or purchase intentions.¹⁰⁸ Similarly, greater volume or the sheer number of eWOM on a given product or brand (i.e., consistency or convergence of eWOM messages) has greater impact than lower volume or a lesser number of eWOM.¹⁰⁹

Source Factors

Studies on eWOM effects have also investigated the role of *source* factors. For instance, studies have shown that source credibility enhances perceived review credibility, especially for those with lower prior knowledge.¹¹⁰ Some studies have found people tend to find expert eWOM sources (e.g., movie critics) more persuasive than lay sources, especially in the case of lower volume of opinions.¹¹¹

Receiver Factors

With regard to *receiver* attributes, involvement has been found to moderate or influence the persuasiveness of review or eWOM attributes. Less-involved participants tend to find the number of reviews or eWOM quantity to be persuasive even when the quality of the eWOM message is low, whereas for highly involved participants review or eWOM quality also matters in addition to quantity.¹¹² Similarly, if eWOM messages confirm prior beliefs, they are deemed more credible.¹¹³

Context Factors

In the case of *context*, studies have shown that information about product topics on online consumer discussion forums generate more interest in the topic than on corporate websites.¹¹⁴ Similarly, consumer reviews or eWOM messages on established websites are more persuasive than those on websites whose reputation is not well established.¹¹⁵

While the information-processing literature has examined and continues to examine the effects of a variety of relevant factors, one underexplored but fruitful area of research involves examining information processing of brand feedback or contributions in an eWOM context. In general, how

do brands participate in online UGC and eWOM platforms and what are consequences on consumers and even brands themselves (also see, King et al.¹¹⁶)? Although some studies are emerging in the hospitality management and online service recovery literature,¹¹⁷ this line of investigation remains rudimentary as of now. Investigation remains virtually unexplored for retail products and eWOM contexts other than hotels reviews. Moreover, the effects of many important variables (e.g., brand's response or feedback type, source, attributes, style, context) are yet to be adequately examined, which presents multiple opportunities for future research.

eWOM Studies from a Structuralist Perspective

Studies concerning eWOM that use a structuralist perspective examine the physical attributes (types, formats, and features) of interactive advertising such as eWOM.¹¹⁸ Studies have explored several questions about eWOM structure and content across different sites, including how UGC/eWOM content types differ between various social media sites,¹¹⁹ content features, and frequency in bulletin board eWOM messages;¹²⁰ nature and type of content on eWOM sites;¹²¹ and structural differences between genuine and fake reviews.¹²² We now review some of these individual studies.

Smith, Fisher, and Yongjian¹²³ examined how UGC/eWOM content types differed across YouTube, Facebook, and Twitter. The authors inquired about the differences between these eWOM sites using six dimensions identified using past literature and an inductive reading of brand-related UGC or eWOM. These dimensions are concerned with whether eWOM self-promoted the consumer and brand; placed the brand centrally or peripherally; directed communications toward marketer; responded to an online marketer action; presented factual information; and valence toward brand (positive, negative, or neutral sentiment). The study found that YouTube is where self-promoting UGC is greatest; brands are least likely to be central and least likely to contain UGC responding to online marketer actions. The authors found that valence or sentiment toward brands differed across sites, and this was also different for the two brands the authors examined (Lululemon and American Apparel).

Next, Wang and Rodgers¹²⁴ conducted a content analysis of eWOM messages on a breast cancer bulletin board to understand types and features of eWOM conversations occurring there. The authors sought to find the level of information versus emotion in those eWOM conversations, valence of eWOM (positive, negative, mixed, or neutral), frequencies of direct purchase recommendations, and differences in eWOM across the cancer product types mentioned in the bulletin board. The authors then showed the

usefulness of such undertaking for brands to meaningfully participate and gain insights from consumers on the site.

Similarly, through an analysis of consumer travel-related web behavior data in the Netherlands, Bronner and Hoog¹²⁵ found that most content is positive in valence, and that the most common posted content is text with rating. Yoo and Gretzel¹²⁶ examined some potential structural and content differences between fake (written by study subjects who had marketing experience but were unaware of the study goals) and genuine reviews (gathered from TripAdvisor website). Although the authors used two different sources of information for comparison, their investigation found fakes generally tended to be more lexically complex, used more self-references, mentioned brand names more, and had a higher percentage of positive words compared with negative words expressed in eWOM messages.

Consistent with Wang and Rodgers,¹²⁷ our review of the eWOM literature revealed that studies examining eWOM from a structuralism perspective have been much fewer in number than studies that use either a functionalist or information-processing perspective. Hence, there is much opportunity for scholars to use the structural perspective to investigate eWOM to further understand types, forms, and features of eWOM in different contexts and settings. One question that can be further explored is types, forms, and features of brand feedback or advertiser contributions on various consumer product eWOM sites. Studies have generally neglected this area (although see Sparks and Bradley¹²⁸ for an exception).

Summary/Conclusion

The chapter contributes to UGC and eWOM literature by providing an overview and discussion of eWOM/UGC research from the perspectives of the three schools of thought, distinguishing various concepts these eWOM and UGC are often conflated with, and identifying avenues for future research.

The chapter began by describing a recent UGC-based advertising campaign that showed how UGC is transforming the advertising industry to make it more consumer-oriented and controlled. UGC has indeed changed our notions about various advertising aspects from the classical communication models' standpoint, including changes in advertising source, channel, message, receiver, and effects.¹²⁹ Since theorizing suffers with vagueness in definitions, we also drew on past research to distinguish UGC and eWOM from other similar concepts they are often conflated with, such as CGC, CGA, viral advertising, and social media. UGC is a broad term that encapsulates any type of content consumers generate. eWOM, on the other hand, refers

to brand-related UGC that also implies conveying of that brand-related information to other consumers. eWOM differs from traditional WOM in a variety of ways, including large scale, diffusion speed, persistence, and accessibility of message,¹³⁰ and this makes eWOM a unique form of UGC and a fertile field of research. We then spent most of the remaining chapter reviewing and discussing the literature in terms of three schools of thought, namely functionalist, information processing, and structuralist.

Our review revealed that the majority of studies within the functionalist school of thought examined motivations and other factors related to creating, contributing, forwarding, or seeking/consuming eWOM/UGC. Studies from an information-processing perspective have examined questions relating to eWOM's psychological effects on consumers and the persuasive influence of variables relating to source, message, receiver, and context. Next, studies have also examined eWOM from a structuralist perspective, looking at the types, forms, and features of eWOM messages and platforms.

We also identified several potential areas for future research on eWOM and UGC. For instance, of the three schools of thought, our review revealed less popularity among studies examining structural aspects of eWOM. This is similar to what Wang and Rodgers¹³¹ found in their earlier literature review on eWOM. Future studies can address this gap by focusing on the structural elements that comprise eWOM. In this regard, we also provided suggestions that may help to advance thinking in the area. For example, analyzing structural aspects has strong merits. Knowing the forms, features, and types of UGC and eWOM would help scholars and professionals understand what kinds of eWOM exist in different platforms and, thus, what kinds of content such structures facilitate. This would certainly have implications for advertisers and marketers wishing to reach consumers in eWOM digital platforms.

Future researchers should also continue to examine and develop a more nuanced view of eWOM and UGC as they relate to advertising. Scholars might consider branching out in the effects literature by investigating what role eWOM plays in the larger society. For instance, what impact does eWOM have on society at large? Developing theories about effects at the societal level and building cross-level connections between the individual-level, organizational-level, and societal-level ideas and findings will be important to develop a deeper understanding of the UGC phenomenon.¹³²

Technological and other advancements have enabled content creation and distribution at a fast pace and low cost. However, as people become more accustomed to other people talking or complaining about brands or products online, it is likely that consumers may start to place less

importance on those individual messages. Instead, consumers may increasingly look for consistency of information, along with the use of other heuristic cues,¹³³ to evaluate and accept user contributions. As several scholars and industry professionals have indicated, we will also likely see an increase in the role of opinion leaders (also called influencers) online who can help brands instantly reach and influence many consumers.¹³⁴ The rise of influencer ratings programs or platforms such as Klout (klout.com), Kred (kred.com), and Little Bird (getlittlebird.com) suggests that more research with a greater focus on UGC influencers may help to improve our understanding of the influence established credibility within social networks can exert on acceptance and reactance to eWOM.

In sum, the chapter contributed to UGC and eWOM research by providing an overview of the current state of UGC research, particularly from the perspective of eWOM communication, clarifying relevant concepts related to UGC, and providing areas for future research. Scholars have investigated eWOM/UGC from a variety of areas—including eWOM usage and motivations, information processing, and structural aspects—and research continues to examine interesting variables that contribute to theories about how UGC and eWOM may operate at individual and market levels. However, we also pointed to many other interesting areas to investigate, including the motivations, processing, and structure of brand feedback or contributions, including written responses to consumer eWOM messages on various shopping and eWOM sites. Brand feedback or responses will probably return some form of power back to marketers and advertisers, but more research is needed to better understand brand feedback and how it works. These investigations can help enrich our understanding of the interesting phenomenon of eWOM and UGC in general. As the Internet continues to seep into every corner of our lives and as we move toward an increasingly connected experience with other people in everything we do—be it to shop, entertain, consume information, and so on¹³⁵—the importance and relevance of eWOM/UGC will continue to grow.

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Chapter 10

Streaming Video: Anytime, Anywhere

Kelty Logan

When evaluating the impact of new media on advertising, branding, and content, perhaps the most remarkable change in U.S. media consumption habits over the past 10 years is that television content is now accessed across multiple connected devices including television screens and mobile devices such as smartphones and tablets. By eliminating the need for a television set, the new technology facilitates a different kind of viewing experience. Not only can television content be viewed on demand almost everywhere, but also among certain demographics it appears to be a common experience. In fact, according to BrandIndex, a daily tracker of thousands of brands throughout the world, the top-three “most buzzed about” brands in 2014 were Amazon, YouTube, and Netflix. All three of these brands provide streaming video content. The CEO of YouGov BrandIndex indicated that the rankings were yet another reflection of consumers’ shift from traditional TV to online streaming television.¹

Streaming television presented advertisers with unique challenges and opportunities that changed the way television advertising is bought, measured, and viewed. Marketers are enthusiastic about streaming television because research suggests that viewership is growing among the elusive Millennial target, young adults aged 18–34. In addition, viewers appear to be receptive to digital video ads, and digital video ads appear to have stronger impact than traditional television advertising.² This chapter will provide a brief history of streaming video in the United States and discuss the reasons advertisers are investing in the new medium, as well as the challenges the medium presents regarding measurement of advertising reach and effectiveness.

Brief History of Streaming Video

“Streaming video” refers to the way video is transmitted. It is a sequence of moving images sent in a compressed form over the Internet and viewed as it arrives, eliminating the need to wait until a file is downloaded.³ Because streaming video offers an immediate viewing experience, it quickly became the currency of online video. Viewership of online videos in any format wasn’t a common experience until households began to adopt high-speed Internet connections. Indeed, when YouTube was launched in 2005, only 61% of U.S. households had Internet access. Of those households, only 54% had high-speed broadband Internet connections. By 2010, however, 71% of households had Internet access, and all but 5% of them had high-speed connections. During that time, YouTube grew from 100 million video views per day in 2006⁴ to 14 billion video views per day in 2010.⁵

Initially, television networks fought the use of their content in user-generated and early aggregator sites such as fancast.com (acquired by Comcast in 2008), citing copyright infringements and threatening lawsuits.⁶ There were some initial, awkward attempts to use the sites to promote network programs, such as an early deal between YouTube and NBC in 2006.⁷ By 2007, however, the major networks began to realize that—like music downloads—online video represented a new way to access traditional media. The networks began to compete head-on with the user-generated and aggregator sites by launching advertiser-supported sites featuring the networks’ professionally produced content. In 2007, Netflix launched its streaming video service⁸ that ultimately contributed to the demise of Blockbuster, the primary distribution channel for videotapes and DVDs. Consumers had voted with their purchasing power, and they voted for streaming video in lieu of the bricks-and-mortar video rental experience. Episodic television on streaming video has been available to consumers since 2008.

It is becoming more and more common for viewers to watch TV “on demand,” or according to their own schedule. Nearly 80% of adults who participated in an online survey said they watched TV on their own schedule. Of those consumers, 40% “used a web-based streaming service like Hulu, Hulu Plus or Netflix” while 15% used network or cable websites.⁹

Streaming Television Providers

Providers of online streaming television fall into two categories: paid or free streaming services. Some of the streaming services offer both free and paid options. Hulu.com provides a free service that offers a limited selection of titles as well as a paid service that offers an extensive selection of titles, for

example. At present, most television networks provide free streaming of scheduled television shows on full episode players (FEPs) after they air on the network. Current shows are available on the websites of all of the major networks including ABC, CBS, NBC, FOX, and most cable and satellite networks such as Lifetime, A&E, and Comedy Central. CBS, however, offers CBS All Access, a paid subscription service as well.

The paid streaming services such as Netflix, Amazon Prime, and Hulu are the result of partnerships between networks and production companies and, consequently, offer a broader range of programs than the network sites. By offering over-the-top (OTT) access that bypasses subscription cable services such as Comcast, the streaming services pose a serious threat to the cable providers. *Wired* magazine speculated, "Eventually cable will follow bunny ears into the basement of dead technology, and online TV will be called something else: plain old TV."¹⁰ Importantly, however, the evolving structure of streaming services appears to mirror the mix of advertiser-supported programming and commercial-free programming offered by the current cable services. The streaming services that rely upon the most up-to-the-minute programming (e.g., first-run series and sports) also rely upon advertisers to make viewer access affordable.

The top-three paid streaming services are not differentiated by price. All are priced at about \$8.00 per month. They are, however, differentiated from each other on the basis of content.

Netflix

Netflix is the biggest service, boasting 35.7 million subscribers, more than 10,000 movie and television titles, and unlimited streaming. It is not advertiser supported. Netflix offers current-season television shows, previous seasons, and shows that have ended. It also has exclusive shows, such as *Breaking Bad*, that the other services don't carry. In 2013, Netflix astonished the television industry by producing and streaming a new series, the award-winning original series *House of Cards*. Netflix also introduced the phenomenon of "binge-viewing"¹¹ by providing the entire 13-episode season on the initial launch date for immediate viewing, allowing viewers to watch as many episodes as they liked in one sitting. During 2014, Netflix produced 10 new series.

Hulu

Hulu offers both a free, limited streaming selection as well as two paid, subscription video plans: a limited commercial plan and, for a 50% premium, a commercial-free plan. Hulu's subscription site, with five million

subscribers, is the top choice for viewing new television episodes. In fact, Hulu recently began airing most episodes the day after they air on TV. Both Hulu services are advertiser supported. There is no option available to remove or skip the ads. Following the Netflix lead, Hulu has begun to produce content. Whereas Netflix releases its original content as a complete season, Hulu airs original content in the episodic format: one episode per week.

Amazon Prime

Amazon Prime offers streaming video as part of a package that also provides free two-day shipping for all Amazon purchases, unlimited music streaming, photo storage, and e-books. Amazon Prime membership numbers about 20 million people. It's not clear, however, how many of them stream video. Amazon Prime has more than 40,000 titles, but some of the titles must be purchased before they can be viewed. The service is just beginning to differentiate on the basis of exclusive content from HBO and BBC. Amazon Prime is not advertiser supported.

Other Paid Streaming Services

The strongest indication that traditional networks regard the streaming services as essential to their business models is the fact that during 2015 many network, cable, and premium channels offered OTT streaming services. CBS launched "CBS All Access" in 14 of its largest markets during late 2014, and it was offered in most markets by mid-2015. It is available at CBS.com and on mobile devices through the CBS app. The subscription-based service (\$5.99 per month) offers next-day access to 15 new prime-time shows after they air as well as past seasons of eight popular series and free access to over 5,000 titles in its back catalog such as *Star Trek* and *Cheers*. There is an eight-day delay on mobile devices for prime-time series. All but "classic" (back catalog) programs will include advertising. HBO rolled out its own digital streaming service in April 2015, and Showtime rolled out its streaming services during July 2015. Sony's Playstation Vue, a cloud-based TV service delivered through Sony's PS4 and PS3 consoles, is available in select markets. It offers three types of packages priced from \$49 a month to \$69. The basic package offers over 40 channels including Viacom's MTV, Nickelodeon, and Comedy Central. The service will be advertiser supported.

By providing à la carte cable channel options, the streaming services are beginning to erode the cable industry stranglehold on television viewership.

ESPN's entry into online streaming television, WatchESPN,¹² dealt the most serious blow to cable providers. The top-10 most-viewed programs in cable television history are all ESPN programs.

Digital Video Ad Formats

Advertiser-supported streaming video services run in-program video ads. The Interactive Advertising Bureau (IAB) defined digital video ads as commercials that "may appear before, during, and after a variety of content including, but not limited to, streaming video, animation, gaming, and music video content in a player environment. This definition includes Digital Video Ads that appear in live, archived, and downloadable streaming content."¹³ In-stream video advertising can be found in two forms: linear video ads and nonlinear video ads.

Linear video ads are presented before, during, or after the video content is viewed by the user, mirroring the television commercial experience. Unlike TV ads, however, linear video ads adhere to the "forced viewing model," which requires the audience to watch the commercials. In fact, streaming video services have invested in a great deal of technology to make it difficult for viewers to skip the commercials. Examples of linear video ads include 15-second and 30-second television ads that have been repurposed for online video; digital video ads that are produced specifically for digital platforms; and full-screen display ads or bumper ads that are viewed within a video player.

Nonlinear video ads run parallel to the video player and can be seen while viewing video content. Page takeovers, on the other hand, are overlays that cover the content of the video itself. Product placements and companion ads, which wrap around the video, are also considered nonlinear video ads.

Currently, online streaming television features fewer commercials than broadcast and cable television. During 2013, broadcast networks averaged 14 minutes and 15 seconds of commercials, and cable networks averaged 15 minutes and 38 seconds of commercials.¹⁴ Although advertiser-supported streaming television does not air the same number of commercials as traditional television, there are indications that broadcast networks seek to achieve a parity commercial load in an effort to combine broadcast and online advertising sales. Research conducted by Turner Broadcasting in 2010¹⁵ suggested that audiences would tolerate increased levels of advertising during streaming television programs, and advertisers are hungry for the ad space.

Streaming Television Audience

Streaming video can be accessed on television sets connected to the Internet. "Connected TVs" are either "Internet-ready" or connected to the Internet using a range of devices such as Blu Ray players, gaming systems, Apple TV, or a ROKU box. Table 10.1 shows the increased penetration of connected televisions from 2010 to 2014. By 2014, about half of the homes in the United States had television sets connected to the Internet, roughly double the number in 2010. During that same period of time, weekly viewership of Internet-connected television more than quadrupled, from 5% in 2010 to 24% in 2014.¹⁶

The most dramatic change in streaming television viewership from 2010 to 2014, however, was the move away from television sets altogether—a move that continues to this day. Table 10.1 also shows the growing use of non-TV devices to stream video. By 2014 nearly a third of U.S. adults viewed video daily on digital devices such as PCs, smartphones, and tablets—nearly double versus the previous year—and about 60% watched video weekly on digital devices.¹⁷ Those numbers were not made available for 2016.

Table 10.1 Streaming Video Usage among U.S. Adults Aged 18+

	2016	2014	2012	2010
	(N = 1,206)	(N = 1,211)	(N = 1,251)	(N = 1,250)
	%	%	%	%
Homes That Have TV Connected to the Internet	65	49	38	24
Watch Video At Least Weekly from Internet via a Connected TV	40	24	13	5
Watch Video Daily on Non-TV Devices such as PCs, Smartphones, and Tablets		31	18	
Watch Video Weekly on Non-TV Devices such as PCs, Smartphones, and Tablets		58	46	

Source: Data adapted from Leichtman Research Group Press Releases, "49% of U.S. Households Have a TV Connected to the Internet" (2014) and "65% of U.S. Households Have a Connected TV" (2016).

The growth of streaming video has paralleled the increased use of digital devices that provide Internet access. Table 10.2 shows the dramatically increased penetration of cell phones and smartphones, laptop computers, tablets, and connected televisions over a four-year period. Importantly, all of these digital devices are mobile, allowing people to stream video “everywhere.” Among those who view online video, nearly half stream television shows and clips.¹⁸

Millennials, in particular, are moving away from watching full-length programs on television sets. Compared to other age groups, millennials are the least likely to watch video on traditional TV—including time-shifted TV—and the most likely to watch video using a multimedia device or smartphone.¹⁹ Eighty-four percent of millennials surveyed stated that they had streamed full-length television shows in the past six months.²⁰ In fact, according to research conducted by National Association of Television Program Executives (NATPE) Content First and the Consumer Electronics Association (CEA), only 55% of millennials selected a television set as the preferred screen for viewing television content.²¹

Table 10.2 Devices Most Commonly Used to Connect to the Internet

	April– December 2013	Index versus 2009	April– November 2011	Index versus 2009	April– December 2009	Index
	(N = 9,217)		(N = 9,057)		(N = 8,364)	
	%		%		%	
Cell Phone/ Smart- phone	58	322	37	205	18	100
Laptop Computer	56	140	57	143	40	100
Desktop Computer	49	66	57	77	74	100
Tablet (iPad, Galaxy, etc.)	29	—	7	—	—	100
Television	10	333	7	233	3	100
Other Device	4	200	5	250	2	100

Note: Sample consists of adults aged 18+ who use the Internet.

Source: Data adapted from Mintel Group Ltd., “Living Online—U.S.” (2014), 32–33.

While television viewership is relatively stable year on year, viewership among the millennials is declining. A MarketingCharts analysis of Nielsen data²² revealed that traditional TV viewing among 18- to 24-year-olds and 25- to 34-year-olds in Q3 2014 was down 19% and 11%, respectively, versus previous year. Young adults aged 18–24 and 25–34 are more likely than average to watch TV programs online in a typical month (45% and 41%, respectively). In fact, young adults aged 18–34 comprise 50% of the monthly online TV program viewers (45% and 41%, respectively). In a recent poll, 37% of young adults 18–36 indicated that they were watching more online or streaming television versus a year ago and, importantly, only 16% indicated that they didn't watch online or streaming television at all.²³

Advertisers' growing interest in digital video advertising is largely attributable to marketers' desire to reach millennials (young adults aged 18–34). Millennials make up the largest generation in U.S. history. There are roughly 79 million millennials in the United States, or 25% of the population.²⁴ By 2017, the millennials will account for more spending power than any other generation in the United States. Their purchasing power per year is estimated at \$170 billion. Young adults have historically been light television users, but the emerging new media appears to have made young adults even more difficult to reach on television. Specifically, millennials appear to be the most likely demographic to shift from traditional consumption of television to new, digital platforms.

It would appear that to reach millennials, advertisers must go online. A comprehensive analysis of Nielsen data by IAB in 2012²⁵ indicated the long-term potential of video ads in streaming television programs, suggesting that it provides incremental viewership for television programs because it reaches light television viewers. The fact that the new medium attracts new viewers is important because it extends the advertising reach. In decades past, print and radio were used to augment television reach. The IAB report demonstrates that "digital media"—which include both video and display advertising—add effective reach to today's media plans.

Advertising Investment in Online Streaming Television

Although television remains the primary advertising medium, marketers, agencies, and media buyers are predicting that investment in digital video advertising will surge. During 2014, television accounted for 38.1% of the \$180 billion that was spent on total advertising in the United States. Digital advertising—including search, social, online video, and mobile—totaled

only 28.2% of advertising expenditures during 2014.²⁶ However, digital advertising is projected to surpass television expenditures by 2016.²⁷ In fact, total advertising spending is projected to grow 11% by 2016, accelerated in part by growing revenues from leading Internet media companies. Google, Facebook, Yahoo, and Microsoft accounted for about 57% of total digital ad spending during 2014. Google alone accounted for 11% of all advertising spending in the United States, and by 2016, it is estimated that Google and Facebook will account for about \$30 billion of advertising expenditures.²⁸

Major brands are already increasing their commitment to digital advertising. In 2013, Procter & Gamble announced its intention to spend 35% of its marketing budgets on digital advertising.²⁹ Other brands followed them, diverting funds from their traditional TV budgets. But despite the surge in digital advertising, spending on digital video advertising remains a fraction of the total digital spend. Digital video advertising accounted for approximately \$5.9 billion during 2014, a 41% increase versus prior year, but accounted for only 12% of total digital ad spending and barely 3% of total ad spending. Advertising agency executives, however, expect to see digital video advertising investment continue to grow, and 25% of them expect digital video advertising to achieve the highest growth rate among digital media.³⁰ On a global basis, digital video advertising is projected to double its share of the total advertising budget by 2018.³¹

Measuring Digital Video Ad Effectiveness

When targeting millennials, advertisers deal with substantially lower levels of breakthrough. In other words, young adults are far less likely to remember—or even notice—advertising in general.³² It is difficult to capture millennials' attention, let alone engage, convince, and entertain them. However, millennials were found to have more positive attitudes toward digital advertising than television advertising, perhaps due to their engagement with digital media.

In fact, there is growing conviction that digital video advertising is more effective than television advertising in general. A survey of U.S. advertising executives indicated that video ads were seen as very effective. Seventy-five percent of respondents stated that video ads are equally or more effective than traditional TV advertising while only 17% of executives stated that online ads are less effective.³³

A study from Millward Brown, Dynamic Logic, and YuMe found that interactive online video advertising delivered stronger online ad awareness,

message association, purchase intent, and brand favorability compared to noninteractive video ads.³⁴ These findings echoed an earlier IAB analysis of Nielsen data that determined that video ads are generally more effective than traditional ads, especially among the millennials.³⁵ Video ads that ran on full episode players during television episodes performed stronger than television ads for all metrics measured by Nielsen: general recall, brand recall, message recall, and ad likeability. In fact, general recall for video ads delivered 39% greater recall in general, 85% more brand recall, 100% more message recall, and 87% more likeability compared to television ads. These results were even more pronounced for the young adult audience (18–34). Table 10.3 compares the recall scores for digital video ads and television ads by target audience.

The IAB report analyzed video ads by product category as well as program context, or program genre. Product categories included consumer packaged goods (CPGs) such as health and beauty aids (HBAs), food, and beverage brands as well as non-CPGs such as technology, automotive, retail, finance, and telecom brands. The program genres included documentaries, science fiction, talk shows, dramas, animation, situation comedies, game shows, reality shows, instructional shows, variety shows, and news magazine shows.

When analyzed by product category, it was determined that video ads for both CPG and non-CPG brands were more effective than television ads. In both cases the video ads outperformed the TV ads in terms of general recall.

Table 10.3 Recall Scores for Video Ads versus Television Ads by Target Audience

	Adults 18+			Adults 18–34		
	Video Ads %	TV Ads %	Index Video versus TV Ads	Video Ads %	TV Ads %	Index Video versus TV Ads
General Recall	64	46	139	57	39	146
Brand Recall	50	27	185	41	21	195
Message Recall	40	20	200	32	14	228
Likeability	28	15	187	21	11	191

Source: Data adapted from Interactive Advertising Bureau, "A Comprehensive Picture of Digital Video and TV Advertising" (2012), 41, 97.

brand recall, message recall, and likeability. Table 10.4 shows a comparison of recall scores for digital video ads and television ads by product category. CPG ads achieved the highest general recall in the animation, science fiction, documentary, reality (noncompetition), and drama genres. Non-CPG video ads achieved the highest general recall in the documentary, science fiction, talk show, drama/adventure, and animation genres.

Perhaps the most important finding was that prior exposure to digital video ads made television advertising more effective across demographics, particularly among millennials. Table 10.5 shows the comparison of recall

Table 10.4 Recall Scores for Video Ads versus Television Ads by Product Category

	CPG Products			Non-CPG Products		
	Video Ads %	TV Ads %	Index Video versus TV Ads	Video Ads %	TV Ads %	Index Video versus TV Ads
General Recall	61	44	139	65	47	138
Brand Recall	48	26	185	50	28	179
Message Recall	38	19	200	41	21	195
Likeability	26	15	173	28	15	187

Note: Sample consists of adults aged 18+.

Source: Data adapted from Interactive Advertising Bureau, "A Comprehensive Picture of Digital Video and TV Advertising" (2012), 55.

Table 10.5 Recall Scores for TV Ads Only versus Digital Video Ads + TV Ads

	TV Ads Only %	TV + Prior Digital Video Ad %	Index TV + Video versus TV Ads
General Recall	39	43	110
Brand Recall	21	25	119
Message Recall	14	19	138
Likeability	11	13	118

Note: Sample consists of adults aged 18–34.

Source: Data from Interactive Advertising Bureau, "A Comprehensive Picture of Digital Video and TV Advertising" (2012), 88.

scores for adults aged 18–34 when exposed to television ads only or when exposed to television ads after exposure to a digital video ad.

The IAB findings were consistent with a more recent recall test conducted by Hotels.com during 2014.³⁶ The brand ran a national campaign using both digital video and television ads. A postcampaign survey revealed that those who saw the ads both online and on TV were most likely to recall the brand message. Specifically, among those who saw only the TV ad, 32% recalled the brand message compared to 34% recall among those who saw the ad online only, and 39% recall among those who saw the ad on TV and online.

While research from reliable trusted companies indicates that digital video advertising delivers a message effectively, information regarding the efficiency of digital video advertising is still problematic.

Measuring Digital Video Ad Efficiency

Currently, digital video ad buys are evaluated in respect to other digital media. Metrics developed by syndicated researchers such as Nielsen's Online Campaign Ratings (OCR) and comScore's vCE ad validation suite provide audience ratings across digital platforms as well as other measures such as viewability (verification that the ad was seen for a certain length of time), brand safety, geographic delivery, and engagement. Digital video ad metrics can provide valuable information to improve the effectiveness of an overall communication strategy. For example, digital video ad metrics can track how many users watched a commercial, went to the brand or company website, and bought the advertised product.

While these analytics provide marketers with a variety of ways to measure return on investment (ROI) for digital video ad buys, they do not allow comparisons between the ROI for digital video ads and the ROI for television advertising. Marketers long for the standardized, passive metrics common to television delivery: gross rating points (GRPs) and targeted rating points (TRPs). When surveyed, 36% of ad executives said their clients valued GRPs or TRPs, 30% said their clients wanted to know the percent of impressions that reached their target, and 24% wanted to know the percent of unique viewers reached.³⁷ The lack of metrics common to digital and television is inhibiting investment in digital video advertising.

An IAB analysis of actual media plans found that shifting budget from television to digital advertising (including video and display) resulted in increased effective reach and reduced the total media cost.³⁸ In fact, U.S.

agencies and marketers are already eager to initiate cross-platform buying, allowing advertising for television, desktop, and mobile to be bought with a single transaction. A survey conducted by the IAB³⁹ among 168 agency executives and 129 marketing executives indicated strong industry support for cross-platform digital video buying. Specifically, 85% of agency executives and 79% of marketing executives felt that offering a traditional TV and digital video multiplatform solution was “extremely” or “very” important.

Marketers are already attempting to regard their television and digital video advertising budgets as a single entity. In this context, video ads are not an incremental media buy for most advertisers. Rather, video ads are funded by reducing expenditures on other media. The most likely sources of funds for digital video ads are the budgets for online display advertising, broadcast television, and cable television.⁴⁰ For example, the Omnicom Group’s media operations—responsible for advertisers such as PepsiCo, Visa, McDonald’s, and Apple—advised clients to move 10% to 25% of their TV dollars to digital video.⁴¹

Television network sales executives and the media-buying agencies are acutely aware that the lack of cross-platform measurement (television and digital platforms) has delayed the convergence of digital video ad and television ad sales. Because the television advertising prices are determined by audience delivery, the total, converged viewership data related to each television show is crucial to a network’s business model. PricewaterhouseCoopers, in its report on the outlook for global entertainment and media, stated that if the television industry fails to embrace new audience measurement metrics it will lose revenue to other digital media players.⁴² In an effort to capture the digital video advertising budgets, television networks attempted to provide cross-platform buys. The director of marketing communications at Hyundai Motor America stated, “When we’re working with network partners, it’s now rare to see a standalone TV or a standalone digital deal. It’s almost become standard practice to package digital and broadcast together.”⁴³ A&E, for example, combined television and digital buys for the “Bonnie & Clyde,” “Vikings,” “Mankind: The Story of All of Us,” and “The Bible.”⁴⁴

These ad hoc efforts, however, only reminded the industry that the power of converging television and digital video advertising buys would not be realized until metrics that compared the two media were available. Advertising buyers and sellers agree that the ideal metrics would demonstrate the relative advantages of television and digital video ads such as the immediate reach of traditional television versus the engagement and transactional

features of digital platforms. Mel Berning, the president of advertising sales at A&E, stressed the need for cross-platform ad metrics to grow the digital video ad investment, however, stating "Once [Nielsen delivers a] measurement [that] allows agencies, advertisers and us to transact business more easily and efficiently, we'll see a huge spurt in growth for online video."⁴⁵

At present, two companies, Nielsen and comScore, are on the verge of providing normalized ratings systems that will calculate program-level metrics across all platforms: video-on-demand (VOD), DVR, mobile, PC, tablet, connected TV devices such as Xbox and Apple TV, and linear—traditional—TV.

Nielsen unveiled its "Total Audience Measurement" in late 2015. As of May 2016, it had not yet been used during the network upfront buys. The company stated that client education was slowing adoption of the measurement. "That process . . . I don't know that we underestimated it, but we can never spend enough time with our clients analyzing that data, helping them understand it and figure out what sort of decisions it's going to lead to," stated Steve Hasker, Nielsen's global president and CEO.⁴⁶

In April 2016, comScore, the company that pioneered measurement of video content and advertising, launched Xmedia, an audience measurement that provides unduplicated desktop, smartphone, tablet and over-the-top (OTT) video audience measurement for content owners, agencies, and advertisers. CNN, the largest TV news organization in the United States, partnered with Xmedia and planned to use the measurement in the 2016 upfronts. Robin Garfield, senior vice president of research and scheduling at CNN, intended to use the measurement to prove definitively that video platforms provide incremental viewership and stated,

CNN really has a material business across all our platforms. I think it's one of our unique selling propositions, and we're using it both to understand our consumers, to really use that knowledge to develop our editorial and our products across platforms, and then in turn to really educate our advertisers about how we're doing that so we can work closely with them and build the most effective plans.⁴⁷

Ultimately, a standardized means to measure cross-platform audiences is necessitated by the data-driven optimization that drives digital media-buying practices. As a growing number of digital media executives assume leadership roles in major media organizations such as Zenith, Starcom, and Universal McCann, digital media-buying concepts such as programmatic and real-time bidding (RTB) will inevitably affect the way traditional media is bought.⁴⁸

The Digital Video Advertising Marketplace

The buyers of digital video ad space and the buyers of television ad space share concerns about reaching a specific target audience, achieving brand objectives, and remaining within budget. Currently, however, the way the advertising is purchased for digital video ads and TV ads varies significantly. While agency buyers control the purchase of television ad space, digital video ad space is purchased in a variety of ways including the use of agencies, advertising networks, advertising exchanges, or publishers. According to a 2013 Adap.TV report, two-thirds of advertisers and agencies were still buying directly from publishers such as Google, Facebook, and Twitter, but private networks were gaining share. In fact, 55% of publishers planned to start a private video ad marketplace within the next year and nearly 60% of brands and agencies indicated that they planned to start buying from private marketplaces during the next year.⁴⁹ Publishers reported that 30% of their inventory was sold programmatically.

Programmatic Buying

Programmatic advertising has had a profound impact on the way digital advertising is bought because it uses software, rather than people, to buy digital advertising.⁵⁰ Sometimes described as “machine-to-machine” buying, the term *programmatic ad buying* can include—but is not limited to—RTB. Another type of programmatic buy, “programmatic direct,” can include guaranteed ad impressions, ad placements, and appropriate environments or contexts for the ads. Programmatic technologies are poised to dramatically increase investment in video advertising by providing the ability to advertise to specific audiences, as well as to target by age, gender, location, and device. In fact, investment in programmatic digital video ad spend is projected to increase dramatically during 2015 from \$77.1 million to \$231.3 million.⁵¹

Sixty percent of marketers interviewed indicated that they were interested in applying programmatic techniques to broadcast television buys.⁵² In 2014, Procter & Gamble announced its intention to buy 70–75% of its digital advertising programmatically in the belief that this will improve the quality of the ad placements. American Express took even bolder action during 2014. It announced its plan to shift 100% of its digital ad budget to programmatic.⁵³

Despite the growing importance of programmatic buying, only 23% of U.S. marketers understand and are using programmatic buying.⁵⁴ Key

concerns appear to be the opacity of complex negotiations among trading desks and other entities such as ad exchanges and agencies. Procter & Gamble established its own trading desk in 2008,⁵⁵ and 88% of the marketers and agencies surveyed indicated interest in bringing programmatic video buying technology in-house, perhaps to better manage the process.⁵⁶ Among those who have brought the process in-house, 57% of the agencies report that it improves planning, buying, and reporting efficiencies and 75% of brands said in-house programmatic buying allows greater integration with their marketing systems. They also mentioned that their agencies lacked the expertise to handle programmatic buying in-house.

There are, however, some concerns regarding programmatic ad buys. Specifically, advertisers are concerned about the quality of ad viewability, inventory placement, and “bot traffic,” which refers to advertising impressions generated by machines rather than people.

Viewability

The Media Ratings Council (MRC) is an industry-funded organization that reviews and accredits audience-rating services such as the television measurement services provided by Nielsen. The MRC stated that the video ad will be considered a “viewable” impression if 50% of the video player can be seen by the viewer for at least two seconds. Adhering to that definition, as much as 57% of all video ads are designated “unviewable.” It is not surprising, then, that viewability is the primary concern raised by 62% of advertising buyers and 58% of sellers.⁵⁷

Inventory Placement

Inventory placement that is misrepresented to buyers is referred to as “domain spoofing.” Premium sites are popular sites with large video players that are high on the page. Because there are limited premium sites, most programmatic digital video ads run on “fake in-players.” Compared to the video players found on premium sites, “fake in-players” are much smaller, the video quality is inferior, and the sound is muted unless the viewer clicks on the player. Because programmatic buying offers limited verification in terms of quality or accuracy of prebuy or postbuy data, the advertisers are frequently unaware of the actual characteristics of their media buys. Not surprisingly, when asked which digital video quality issues concerned them the most, 40% of advertisers and buyers mentioned ad verification and placement while only 26% of ad sellers concurred.⁵⁸

Bot Traffic

Bot traffic refers to a software application that generates impressions that were never viewed by human beings. In a study conducted by Clearstream video advertising platform, over 20% of impressions sold were fraudulent.⁵⁹ Ad fraud is the biggest concern among buyers and sellers of digital video ads. Sixty percent of digital video ad buyers, and 41% of sellers mentioned fraud as their primary concern.⁶⁰

Confirmation Services

As a consequence of the increased awareness of fraudulent practices in the video ad market, there is a rising demand among advertisers for confirmation services. Historically, the media industry has been active in the establishment of valid, reliable, and effective media measurement. In the wake of digital media, a host of metrics offered by a wide variety of companies have been accredited by the MRC, including ad impressions, clicks, verification, and viewability. Given the issues with ad impressions, clicks, and verification, viewability appears to have emerged as the metric of choice among buyers. Viewable video impressions, however, are only measured by five accredited services: DoubleVerify, Meetrics, Moat, Telemetry, and Videology.⁶¹ Seizing the high ground, Google recently announced that viewability reporting (adhering to the MRC definition) will be provided for video campaigns served through its DoubleClick ad technology system.⁶² Furthermore, Google plans to roll out the service to YouTube across desktop and app views and indicates that measures of audibility (was the ad heard?) as well as the total time an ad was viewed will soon be available.

The measurement technology required to confirm the metrics of a programmatic digital media buy will inevitably shape the way digital video ad space will be bought in the future. It is likely that the purchase of digital video ad space will mirror certain characteristics of today's television ad buys. Specifically, content providers will be expected to provide audience data with premium inventory, resulting in guaranteed delivery numbers and make-goods if those numbers are not achieved. In fact when surveyed, 83% of advertisers, publishers, technology developers and marketing service providers indicated that the unrealized potential of "programmatic everywhere" is audience analytics that support segmentation and targeting.⁶³ Inevitably, however, the use of technology to weed out undesirable inventory and capture desirable audiences will drive up prices of programmatic buys.

Conclusion

When teenagers began to share music files in the early 2000s, no one anticipated that record stores—once the staple of college towns and shopping malls—would vanish from the landscape. While the music industry is still attempting to build a viable business model that addresses music downloads, the consumers appear to be moving away from downloads to streaming. Demand for digital download sales at the world's biggest seller of music, iTunes, is declining in favor of subscription streaming music services such as Pandora and Spotify.⁶⁴

It is somewhat surprising, therefore, that the television industry was caught off guard by streaming television less than 10 years after the music industry's troubles began. Interestingly, while the television networks first ignored, then fought, and later accommodated the streaming television phenomenon, their advertisers were quick to realize the opportunity streaming television provided.

Young adults (aged 18–34) have always been an elusive media target for marketers. Today's young adults, the millennials, are the largest generation in U.S. history. While television viewership among the millennials continues to decline, they comprise half of the monthly viewership of streaming television. In fact, only 16% of millennials indicate that they don't watch streaming television at all. Not only are millennials more likely than others to watch streaming television, but also they are more likely than others to recall and like the in-program advertising.

As a consequence, advertisers are following them into the sphere of streaming television. During 2014, investment in digital video advertising increased 41% versus the previous year and is projected to double its share of the total advertising budget during the next five years. It appears that the only obstacle to even more rapid growth is the failure of the television industry to provide reliable, passive metrics that would allow apples-to-apples comparisons among digital and television buys. While advertisers have already begun to shift advertising budgets from television to digital video ads, the syndicated research companies and their television network partners have not instituted the fundamental changes necessary to measure the total audience across television and digital platforms. Ultimately, the changes in audience measurement may result from the growing influence of media executives who have risen from the ranks of the data-driven optimization of digital media practices such as programmatic buying.

Advertisers have made it clear that they want streaming television to provide advertiser-supported options. The digital publishers, media agencies,

and television networks must now grapple with the challenge of providing the metrics necessary to make single, cross-platform advertising buys a reality.

The emergence of agreed, cross-platform metrics provides interesting opportunities for academics, however. Now, more than ever, the supply-side calculations of audience measurement have been exposed as costly and unwieldy. No sooner has one method of media access been addressed than another method is adopted by consumers. A theoretically based, receiver-side methodology could provide a new way to measure audience across platforms, focusing on media-agnostic measures of effectiveness.

Perhaps the biggest threat to advertiser-supported streaming television is the possible demise of a concept commonly termed “net neutrality.” Net neutrality refers to the principle that Internet service providers (ISPs) such as Verizon and Comcast are neutral gateways to Internet content rather than gatekeepers that can determine the rules of access. In other words, ISPs must treat access to all Internet data—or content providers—equally. A recent ruling by the Federal Communications Commission (FCC) ignited an enormous debate among ISPs and lawmakers. Specifically, on February 26, 2015, the FCC classified Internet providers as public utilities. Under the new ruling, the ISPs cannot accept payment from specific entities to ensure better service nor can they slow down service to discourage use of particular websites.

Internet service providers were outraged by the decision because it ignores the fact that some content providers—specifically those that provide streaming services—are consuming huge amounts of bandwidth, a finite resource. They argued that Netflix alone accounts for 30% of Internet traffic during peak times and should, therefore, pay more for disproportionate use. Netflix counterattacked, charging that Comcast slowed down service so much that Netflix lost customers. Netflix was rewarded with speedier service the minute they paid for access, however.

For consumers who already pay for cable TV service, however, the ISP proposal mirrored the segmentation of cable channels into “basic” (free) and “premium” (subscription) channels. All cable subscribers pay for some kind of television access. The “basic” channels are covered by the monthly fee while the “premium” channels require an additional charge. In a non-net neutrality universe, ISPs could provide “basic” access to sites that don’t require a great deal of bandwidth while requiring an additional charge for access to “premium” sites that use a lot of bandwidth, such as Netflix or Amazon. Because the increased cost of business would, ultimately, be passed along to consumers in the form of higher fees, the

streaming television audience may demand commercial-free programming, and advertisers would once again be in search of ways to reach the difficult-to-reach millennial target.

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